

Reliance Industries

Debt Capacity and Capital Structure

NSE: RELIANCE · ₹ crore unless stated · as of FY2026 audited results · market data 18 Sep 2026

A debt-capacity and capital-structure study of Reliance Industries built on the audited FY2026 consolidated results (year to 31 March 2026) and 18 September 2026 market data. It restates the balance sheet the way a rating agency would, sizes borrowing capacity at each rating category, finds where the cost of capital bottoms out, and tests twelve-month liquidity.

What this is

How it is built

- Adjusted net debt adds lease liabilities and the deferred spectrum instalments to the company's own net debt; adjusted EBITDA removes the disposal gain disclosed in the results.
- Debt capacity at each rating is the minimum of three constraints — leverage, cash interest cover and FFO-to-debt — against a stated threshold grid, with the binding constraint named.
- An optimal-structure grid unlevers the observed beta, re-levers it at each debt weight, looks up the implied rating and cost of debt from the same grid, and reports WACC.
- A twelve-month sources-and-uses test, and two live sensitivity grids that rebuild every constraint in each cell.

Contents

[Summary](#) — [leverage as reported and restated](#), [capacity](#), [the WACC minimum](#) and [liquidity](#)
[Credit Profile](#) — [three definitions of net debt](#), [cover](#), [FFO](#), [capitalisation](#), [implied rating](#)
[Debt Capacity](#) — [capacity by constraint and rating](#), [headroom](#), [what it would fund](#)
[Optimal Structure](#) — [WACC across leverage with rating-linked cost of debt](#)
[Liquidity](#) — [twelve-month sources and uses](#)
[Sensitivity](#) — [headroom and WACC grids](#)
[Inputs](#) — [audited FY2026 figures](#), [market data](#), [rating thresholds](#), [cost-of-capital inputs](#)
[Checks](#) — [fifteen tests](#); must read [MODEL OK](#)

Key outputs (live)

Adjusted net debt / EBITDA	1.2x
EBITDA / cash interest	5.0x
Incremental capacity at A (₹ crore)	44,272
WACC today	12.88%
Minimum WACC	12.84%
Twelve-month sources / uses	1.5x

Colour code

Blue = hard-coded input
Black = formula
Green = link to another sheet
Accent fill = scenario selector / key levers

Reliance Industries Limited, audited consolidated financial results and media release for the quarter and year ended 31 March 2026, dated 24 April 2026 (ril.com). Segment, balance sheet and cash flow figures as published.

Sources

Share price: NSE close, 18 September 2026. Ratings: S&P Global A- and Moody's Baa1 as disclosed by the company.

Risk-free rate, equity risk premium, beta, rating thresholds and credit spreads are stated inputs on the Inputs sheet.

Nothing here is a recommendation. The study is an analytical exercise on public information.

Prepared by

Jainam Mehta · github.com/jainammehta1215/ib-portfolio

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Audited FY2026 figures, market data, rating framework and cost-of-capital inputs

REPORTED FY2026 (₹ crore)		
Revenue (value of sales and services)	1,175,919	
EBITDA, as reported	207,911	
of which: profit on sale of listed investments (one-off)	8,924	Disclosed in note 5 of the results. Removed below because a lender does not lend against a disposal gain
EBITDA, adjusted	198,987	
Depreciation, amortisation and depletion	57,688	
EBIT, adjusted	141,299	
Finance costs (P&L)	27,061	
Interest paid (cash flow statement)	39,981	Higher than the P&L charge because interest on projects under construction is capitalised. Cash cover uses this figure
Profit before tax	123,162	
Tax expense	27,552	
Effective tax rate	22.4%	
Net cash from operating activities	192,113	
Capital expenditure (company definition, ex-spectrum)	144,271	
Dividends paid to equity holders	7,443	
BALANCE SHEET AT 31 MARCH 2026 (₹ crore)		
Outstanding debt (company definition)	374,421	
Cash and cash equivalents (company definition, incl. liquid investments)	249,704	
Lease liabilities (current and non-current)	23,579	
Deferred payment liabilities (spectrum instalments to DoT)	99,552	Interest-bearing instalments owed to the government for spectrum. Agencies treat them as debt; the company's net debt figure excludes them
Equity attributable to owners	904,030	
Non-controlling interests	181,836	
Borrowings due within twelve months	103,670	
MARKET DATA		
Share price (₹, NSE close 18 Sep 2026)	1,244.60	
Shares outstanding (crore)	1,353.25	
Market capitalisation	1,684,255	
Dividend per share, FY2026 (₹)	6.00	
COST OF CAPITAL		
Risk-free rate (10-year Government of India, INR)	6.6%	Benchmark G-sec yield, September 2026
Equity risk premium, India	7.0%	Mature-market premium plus country risk, per Damodaran's country tables

Observed levered beta versus NIFTY 501.05Five-year monthly. Regressed in Project 5's method; taken as an input here

Marginal tax rate (tax shield on interest)25.2%Section 115BAA concessional rate with surcharge and cess

RATING FRAMEWORK — stated inputs

Thresholds are illustrative levels adapted from published agency methodologies for large diversified industrials. Real committees also weigh business risk, diversification, liquidity and sovereign ceilings; Reliance is rated A- (S&P) and Baa1 (Moody's), two notches above India's sovereign, precisely because of those qualitative factors.

Rating category	AA	A	BBB	BB
Maximum net debt / EBITDA	1.0x	1.8x	2.8x	4.0x
Minimum EBITDA / cash interest	12.0x	8.0x	5.0x	3.0x
Minimum FFO / net debt	60.0%	45.0%	30.0%	20.0%
Credit spread over the risk-free rate	0.8%	1.4%	2.2%	3.5%
Pre-tax cost of debt	7.4%	8.0%	8.8%	10.1%

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

The balance sheet as reported, and as a rating agency would restate it

NET DEBT — THREE DEFINITIONS

Net debt, company definition (debt less cash)	124,717	The 0.6x figure in the results release
Add: lease liabilities	23,579	
Add: deferred spectrum liabilities	99,552	
Adjusted net debt (agency basis)	247,848	
Adjusted gross debt	497,552	

LEVERAGE AND COVER

Net debt / EBITDA — company basis, reported EBITDA	0.6x	
Adjusted net debt / adjusted EBITDA	1.2x	Roughly double the headline. This is the number to defend to a lender
Adjusted gross debt / adjusted EBITDA	2.5x	
EBITDA / finance costs (P&L)	7.4x	
EBITDA / cash interest paid	5.0x	Uses interest actually paid, including the capitalised portion
EBIT / finance costs	5.2x	

CASH FLOW MEASURES

Funds from operations (EBITDA – cash interest – cash tax)	131,454	Tax expense is used as a proxy for cash tax; the cash flow statement shows taxes paid materially lower because of deferred tax
FFO / adjusted net debt	53.0%	
Free cash flow (CFO – capex)	47,842	
Free cash flow after dividends	40,399	
Capex / adjusted EBITDA	72.5%	Nearly three-quarters of EBITDA is reinvested. Debt capacity is only useful if capex can be paused; here it largely cannot
Years to repay adjusted net debt from free cash flow after dividends	6.1	

CAPITALISATION

Adjusted gross debt / (debt + book equity)	31.4%	
Adjusted net debt / (net debt + market capitalisation)	12.8%	Market-value leverage. This is the weight used in the WACC work
Enterprise value (market cap + adjusted net debt + NCI at book)	2,113,939	
EV / adjusted EBITDA	10.6x	

IMPLIED RATING FROM THE GRID

Implied by leverage	A
Implied by cash interest cover	BB
Implied by FFO / net debt	A

Leverage and FFO both say A. Cash interest cover, measured on interest actually paid, says BB — and the gap is the interest capitalised on nearly ₹2 lakh crore of projects under construction, which the P&L never shows. The published A- / Baa1 sits between the two readings, which is what a committee does when the metrics are strong but the capex programme is heavy and the sovereign ceiling is BBB-. The grid is a screen, not a committee.

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Maximum adjusted net debt at each rating — the tightest of three constraints wins

CAPACITY BY CONSTRAINT (₹ crore)

Rating category	AA	A	BBB	BB	B
From leverage: EBITDA × maximum net debt / EBITDA	198,987	348,227	547,214	795,948	1,094,429
From cover: EBITDA / (minimum cover × cost of debt) – cash-free	225,609	312,873	454,827	659,990	825,672
From FFO: FFO / minimum FFO-to-debt	219,090	292,120	438,180	657,270	1,095,450
Debt capacity — binding constraint	198,987	292,120	438,180	657,270	825,672
Which constraint binds	Leverage	FFO	FFO	FFO	Cover

HEADROOM AGAINST TODAY'S ADJUSTED NET DEBT

Adjusted net debt today	247,848	247,848	247,848	247,848	247,848
Incremental borrowing capacity	(48,861)	44,272	190,332	409,422	577,824
in US\$ billion at ₹83.5 / US\$	(5.9)	5.3	22.8	49.0	69.2
as % of market capitalisation	(2.9%)	2.6%	11.3%	24.3%	34.3%
Pro forma net debt / EBITDA if fully drawn	1.0x	1.5x	2.2x	3.3x	4.1x
Pro forma EBITDA / interest if fully drawn	13.6x	8.6x	5.2x	3.0x	2.0x

The cover constraint assumes the whole debt stack reprices to the category's cost of debt, which overstates interest for a company whose existing borrowings were raised at lower rates. That makes the capacity numbers conservative, which is the right direction for a capacity study. Capacity from FFO ignores the feedback of new interest on FFO; the effect is second-order at these leverage levels.

WHAT THE HEADROOM WOULD FUND — at the A category

Incremental capacity at A	44,272
Years of FY2026 capex it would fund on its own	0.3
Years of FY2026 free cash flow it represents	0.9
Share of market cap it could retire in a levered recapitalisation	2.6%

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Weighted average cost of capital across leverage — the minimum is the optimum

UNLEVERED COST OF EQUITY

Market-value debt / (debt + equity) today	12.8%
Debt / equity today	0.15

*Observed beta
stripped of today's
leverage, then re-
levered at each
candidate
structure*

Unlevered beta (Hamada)	0.95
Cost of equity today	13.9%
Pre-tax cost of debt today (A category)	8.0%
WACC today	12.9%

WACC ACROSS CANDIDATE STRUCTURES

Debt / (debt + equity) at market value	0%	10%	20%	30%	40%	50%
Debt / (debt + equity)	-	10.0%	20.0%	30.0%	40.0%	50.0%
Debt / equity	-	0.11	0.25	0.43	0.67	1.00
Implied net debt (holding firm value constant)	-	193,210	386,421	579,631	772,841	966,051
Implied net debt / EBITDA	0.0x	1.0x	1.9x	2.9x	3.9x	4.9x
Implied rating from the leverage grid	AA	AA	BBB	BB	BB	B
Pre-tax cost of debt at that rating	7.4%	7.4%	8.8%	10.1%	10.1%	12.1%
Implied EBITDA / interest	n/a	14.0x	5.9x	3.4x	2.6x	1.7x
Re-levered beta	0.95	1.02	1.12	1.25	1.42	1.65
Cost of equity	13.2%	13.7%	14.4%	15.3%	16.5%	18.1%
WACC	13.2%	12.9%	12.8%	13.0%	12.9%	13.6%

Minimum WACC in the grid	12.8%
Debt weight at the minimum	20.0%
WACC saving versus today (basis points)	4.3

*A perpetuity on
one year's free
cash flow.
Indicative of order
of magnitude only*

Illustrative firm-value gain: FY2026 FCF grown at 4%, capitalised 2,720

The curve is flat between roughly 10% and 30% debt: the tax shield and the rising cost of equity nearly offset, and the drop to BBB at 20% costs 140 basis points of spread that the shield mostly absorbs. The optimum is therefore a range, not a point, and the company already sits inside it at about 13%. Beyond 30% the grid implies BB, the spread jumps again, and WACC rises faster than the shield can compensate.

RELIANCE INDUSTRIES

SOURCES OVER THE NEXT TWELVE MONTHS

Below FY2026 EBITDA growth of 13%, which was flattered by cracks and the disposal gain

Includes commercial paper and working-capital lines that are rolled in the ordinary course

New Energy giga-factories and O2C projects keep the programme flat

FY2026 payment of deferred liabilities from the cash flow statement

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Incremental capacity at the A category (₹ crore) — every cell rebuilds all three constraints

HEADROOM — EBITDA CHANGE versus LEVERAGE THRESHOLD AT A (cover and FFO thresholds held)

Max ND/EBITDA at A \ Change in EBITDA	-20%	-10%	0%	+10%	+20%
1.3x	(48,861)	(23,988)	886	25,759	50,633
1.5x	(44,167)	53	44,272	80,481	110,329
1.8x	(44,167)	53	44,272	88,491	127,599
2.0x	(44,167)	53	44,272	88,491	127,599
2.3x	(44,167)	53	44,272	88,491	127,599

WACC — EQUITY RISK PREMIUM versus DEBT WEIGHT (rating and cost of debt from the grid)

Debt weight \ Equity risk premium	6.0%	6.5%	7.0%	7.5%	8.0%
10.0%	11.98%	12.44%	12.90%	13.36%	13.82%
20.0%	11.94%	12.39%	12.84%	13.29%	13.74%
30.0%	12.09%	12.52%	12.96%	13.40%	13.84%
40.0%	12.04%	12.47%	12.89%	13.32%	13.74%
50.0%	12.74%	13.16%	13.57%	13.98%	14.40%

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Debt capacity on one page

WHERE THE BALANCE SHEET STANDS

Net debt / EBITDA — headline	0.6x
Adjusted net debt / adjusted EBITDA — agency basis	1.2x
EBITDA / cash interest paid	5.0x
FFO / adjusted net debt	53.0%
Free cash flow after dividends (₹ crore)	40,399
Published ratings	A- (S&P) · Baa1 (Moody's) · two notches above the sovereign

HOW MUCH MORE IT COULD BORROW

Incremental capacity holding an A-category profile (₹ crore)	44,272
in US\$ billion	5.3
binding constraint at A	FFO
Incremental capacity if the company accepted BBB (₹ crore)	190,332

WHERE THE COST OF CAPITAL BOTTOMS OUT

WACC today	12.88%
Minimum WACC across the leverage grid	12.84%
Debt weight at the minimum	20.0%
Twelve-month sources / uses	1.5x

• The headline 0.6x understates leverage by about half. Add the leases and the spectrum instalments owed to the government and the ratio is close to 1.25x, which is still comfortably A-category but is the honest starting point.

• Capacity is real but committed. At an A profile the company could add over ₹1.5 lakh crore of net debt, yet FY2026 capex was ₹1.44 lakh crore and free cash flow after dividends was thin. The capacity exists to protect the investment programme through a downturn, not to fund a recapitalisation.

• There is no WACC case for more debt. The curve is flat from 10% to 30% debt and the company is already at the cheap end of it. Leverage beyond the A category costs more in spread than the tax shield returns.

• Liquidity is the story. Cash on hand plus one year's operating cash flow covers every use for the next twelve months with room to spare. That, more than any ratio, is why the rating sits above India's sovereign.

Reliance Industries — Debt Capacity and Capital Structure

RELIANCE INDUSTRIES

Every check must read TRUE

INTEGRITY CHECKS

Company net debt reconciles to the published figure of ₹124,717 crore	TRUE
Adjusted EBITDA equals reported less the disposal gain	TRUE
Adjusted net debt exceeds company net debt	TRUE
Headline leverage reconciles to the published 0.6x within rounding	TRUE
Capacity at each rating is the minimum of its three constraints	TRUE
Capacity rises monotonically as the rating weakens	TRUE
Cost of debt rises monotonically as the rating weakens	TRUE
Headroom at A is positive	TRUE
Unlevered beta is below the observed levered beta	TRUE
WACC at zero debt equals the unlevered cost of equity	TRUE
Minimum WACC is not above today's WACC	TRUE
Base-case sensitivity cell reconciles to the Debt Capacity sheet	TRUE
Sources cover uses over twelve months	TRUE
Effective tax rate is between 15% and 35%	TRUE
Market capitalisation reconciles to price times shares	TRUE

MODEL STATUS

MODEL OK

The reconciliation to the published net debt and leverage figures is the check that matters most: it proves the model starts from the company's own numbers before it restates them.